

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO H.B. 2016
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-1125, Arizona Revised Statutes, is amended to
3 read:

4 42-1125. Civil penalties; definition

5 A. If a taxpayer fails to make and file a return for a tax
6 administered pursuant to this article on or before the due date of the
7 return or the due date as extended by the department, unless it is shown
8 that the failure is due to reasonable cause and not due to wilful neglect,
9 four and one-half percent of the tax required to be shown on the return
10 shall be added to the tax for each month or fraction of a month elapsing
11 between the due date of the return and the date on which it is filed. The
12 total penalty shall not exceed twenty-five percent of the tax found to be
13 remaining due. The penalty so added to the tax is due and payable on
14 notice and demand from the department. For the purpose of computing the
15 penalty imposed under this subsection, the amount required to be shown as
16 tax on a return shall be reduced by the amount of any part of the tax that
17 is paid on or before the beginning of the month and by the amount of any
18 credit against the tax that may be claimed on the return. If the amount
19 required to be shown as tax on a return is less than the amount shown as
20 tax on the return, the penalty described in this subsection shall be
21 applied by substituting the lower amount.

22 B. If a taxpayer fails or refuses to file a return on notice and
23 demand by the department, the taxpayer shall pay a penalty of twenty-five
24 percent of the tax, which is due and payable on notice and demand by the
25 department, in addition to any penalty prescribed by subsection A of this
26 section, unless it is shown that the failure is due to reasonable cause
27 and not due to wilful neglect. This penalty is payable on notice and
28 demand from the department.

1 C. If a taxpayer fails or refuses to furnish any information
2 requested in writing by the department, the department may add a penalty
3 of twenty-five percent of the amount of any deficiency tax assessed by the
4 department concerning the assessment of which the information was
5 required, unless it is shown that the failure is due to reasonable cause
6 and not due to wilful neglect.

7 D. If a person fails to pay the amount shown as tax on any return
8 within the time prescribed, a penalty of one-half of one percent, not to
9 exceed a total of ten percent, shall be added to the amount shown as tax
10 for each month or fraction of a month during which the failure continues,
11 unless it is shown that the failure is due to reasonable cause and not due
12 to wilful neglect. If the department determines that the person's failure
13 to pay was due to reasonable cause and not due to wilful neglect and that
14 a payment agreement pursuant to section 42-2057 is appropriate, the
15 department shall not impose the penalty unless the taxpayer fails to
16 comply with the payment agreement. If the taxpayer is also subject to a
17 penalty under subsection A of this section for the same tax period, the
18 total penalties under subsection A of this section and this subsection
19 shall not exceed twenty-five percent. For the purpose of computing the
20 penalty imposed under this subsection:

21 1. The amount shown as tax on a return shall be reduced by the
22 amount of any part of the tax that is paid on or before the beginning of
23 that month and by the amount of any credit against the tax that may be
24 claimed on the return.

25 2. If the amount shown as tax on a return is greater than the
26 amount required to be shown as tax on that return, the penalty shall be
27 applied by substituting the lower amount.

28 E. If a person fails to pay any amount required to be shown on any
29 return that is not so shown within twenty-one calendar days after the date
30 of notice and demand, a penalty of one-half of one percent, not to exceed
31 a total of ten percent, shall be added to the amount of tax for each month
32 or fraction of a month during which the failure continues, unless it is
33 shown that the failure is due to reasonable cause and not due to wilful
34 neglect. If the taxpayer is also subject to penalty under subsection A of
35 this section for the same tax period, the total penalties under subsection
36 A of this section and this subsection shall not exceed twenty-five
37 percent. For the purpose of computing the penalty imposed under this
38 subsection, any amount required to be shown on any return shall be reduced
39 by the amount of any part of the tax that is paid on or before the
40 beginning of that month and by the amount of any credit against the tax
41 that may be claimed on the return.

42 F. In the case of a deficiency, for which a determination is made
43 of an additional amount due, that is due to negligence but without intent
44 to defraud, the person shall pay a penalty of ten percent of the amount of
45 the deficiency.

46 G. If part of a deficiency is due to fraud with intent to evade
47 tax, fifty percent of the total amount of the tax, in addition to the

1 deficiency, interest and other penalties provided in this section, shall
2 be assessed, collected and paid as if it were a deficiency.

3 H. If the amount, whether determined by the department or the
4 taxpayer, required to be withheld by the employer pursuant to title 43,
5 chapter 4 is not paid to the department on or before the date prescribed
6 for its remittance, the department may add a penalty of twenty-five
7 percent of the amount required to be withheld and paid, unless it is shown
8 that the failure is due to reasonable cause and not due to wilful neglect.

9 I. A person who, with or without intent to evade any requirement of
10 this article or any lawful administrative rule of the department of
11 revenue under this article, fails to file a return or to supply
12 information required under this article or who, with or without such
13 intent, makes, prepares, renders, signs or verifies a false or fraudulent
14 return or statement or supplies false or fraudulent information shall pay
15 a penalty of not more than \$1,000. This penalty shall be recovered by the
16 department of law in the name of this state by an action in any court of
17 competent jurisdiction.

18 J. If the taxpayer files what purports to be a return of any tax
19 administered pursuant to this article but that is frivolous or that is
20 made with the intent to delay or impede the administration of the tax
21 laws, that person shall pay a penalty of \$500.

22 K. If any person who is required to file or provide an information
23 return under this title or title 43 or who is required to file or provide
24 a return or report under chapter 3 of this title fails to file the return
25 or report at the prescribed time or in the manner required, or files a
26 return or report that fails to show the information required, that person
27 shall pay a penalty of \$100 for each month or fraction of a month during
28 which the failure continues unless it is shown that the failure is due to
29 reasonable cause and not due to wilful neglect. The total penalties for
30 each return or report under this subsection shall not exceed \$500.

31 L. If it appears to the superior court that proceedings before it
32 have been instituted or maintained by a taxpayer primarily for delay or
33 that the taxpayer's position is frivolous or groundless, the court may
34 award damages in an amount not to exceed \$1,000 to this state. Damages so
35 awarded shall be collected as a part of the tax.

36 M. A person who is required under section 43-413 to furnish a
37 statement to an employee and who wilfully furnishes a false or fraudulent
38 statement, or who wilfully fails to furnish a statement required by
39 section 43-413, is for each such failure subject to a penalty of \$50.

40 N. A person who is required to collect or truthfully account for
41 and pay a tax administered pursuant to this article, including any luxury
42 privilege tax, and who wilfully fails to collect the tax or truthfully
43 account for and pay the tax, or wilfully attempts in any manner to evade
44 or defeat the tax or its payment, is, in addition to other penalties
45 provided by law, liable for a penalty equal to the total amount of the tax
46 evaded, not collected or not accounted for and paid. Except as provided
47 in subsections U, V and W of this section, no other penalty under this

1 section relating to failure to pay tax may be imposed for any offense to
2 which this subsection applies.

3 O. For reporting periods beginning from and after February 28,
4 2011, if a taxpayer who is required under section 42-1129 to pay by
5 electronic funds transfer fails to do so, that taxpayer shall pay a
6 penalty of five percent of the amount of the payment not made by
7 electronic funds transfer unless it is shown that the failure is due to
8 reasonable cause and not due to wilful neglect. For the reporting periods
9 beginning on July 1, 2015, the penalty in this subsection applies to any
10 taxpayer who is required under section 42-3053 to pay by electronic funds
11 transfer and fails to do so unless it is shown that the failure is due to
12 reasonable cause and not due to wilful neglect.

13 P. Unless due to reasonable cause and not to wilful neglect:

14 1. A person who fails to provide that person's taxpayer
15 identification number in any return, statement or other document as
16 required by section 42-1105, subsection A shall pay a penalty of \$5 for
17 each such failure.

18 2. A person, when filing any return, statement or other document
19 for compensation on behalf of a taxpayer, who fails to include that
20 person's own taxpayer identification number and the taxpayer's
21 identification number shall pay a penalty of \$50 for each such failure.

22 3. A person, when filing any return, statement or other document
23 without compensation on behalf of a taxpayer, who fails to include that
24 person's own taxpayer identification number and the taxpayer's
25 identification number is not subject to a penalty.

26 No other penalty under this section may be imposed if the only violation
27 is failure to provide taxpayer identification numbers.

28 Q. If a taxpayer fails to pay the full amount of estimated tax
29 required by title 43, chapter 5, article 6, a penalty is assessed equal to
30 the amount of interest that would otherwise accrue under section 42-1123
31 on the amount not paid for the period of nonpayment, not exceeding ten
32 percent of the amount not paid. The penalty prescribed by this subsection
33 is in lieu of any other penalty otherwise prescribed by this section and
34 in lieu of interest prescribed by section 42-1123.

35 R. Beginning January 1, 2015, if a taxpayer continues in business
36 without timely renewing a municipal privilege tax license as prescribed in
37 section 42-5005, subsection D, a civil penalty of up to \$25 shall be added
38 to the renewal fee for each jurisdiction.

39 S. The department of law, with the consent of the department of
40 revenue, may compromise any penalty for which it may bring an action under
41 this section.

42 T. Penalties shall not be assessed under subsection D of this
43 section on additional amounts of tax paid by a taxpayer at the time the
44 taxpayer voluntarily files an amended return. This subsection does not
45 apply if:

46 1. The taxpayer is under audit by the department.

1 2. The amended return was filed on demand or request by the
2 department.

3 U. In addition to other penalties provided by law, a person who
4 knowingly and intentionally does not comply with any requirement under
5 chapter 3 of this title relating to tobacco products shall pay a penalty
6 of \$1,000. A person who knowingly and intentionally does not pay any
7 luxury tax that relates to tobacco products imposed by chapter 3 of this
8 title shall pay a penalty that is equal to ten percent of the amount of
9 the unpaid tax.

10 V. A manufacturer or importer or a distributor, as defined in
11 section 42-3001, who knowingly and intentionally sells or possesses
12 cigarettes with false manufacturing labels or cigarettes with counterfeit
13 tax stamps, or who obtains cigarettes through the use of a counterfeit
14 license, shall pay the following penalties:

15 1. For a first violation involving two thousand or more cigarettes,
16 \$1,000.

17 2. For a subsequent violation involving two thousand or more
18 cigarettes, \$5,000.

19 W. The civil penalties in this section are in addition to any civil
20 penalty under chapter 3, article 10, 11 or 12 of this title.

21 X. Notwithstanding subsection A of this section:

22 1. And except as provided by paragraph 2 of this subsection, the
23 penalty imposed on a taxpayer that fails to make and file a return for tax
24 administered pursuant to chapter 5 or 6 of this title on or before the due
25 date of the return or the due date as extended by the department, unless
26 it is shown that the failure is due to a reasonable cause and not due to
27 wilful neglect ~~[OR THE TAX REQUIRED TO BE SHOWN ON THE RETURN IS ZERO]~~, is
28 four and one-half percent of the tax required to be shown on the return,
29 or \$25, whichever is greater. The penalty shall be added to the tax for
30 each month or fraction of a month elapsing between the due date of the
31 return and the date on which it is filed. The total penalty may not
32 exceed twenty-five percent of the tax required to be shown on the return,
33 or \$100, whichever is greater.

34 2. The penalty imposed on a taxpayer that is required under section
35 42-5014 to file electronically and that fails to do so is five percent of
36 the tax required to be shown on the return, or \$25, whichever is greater,
37 unless the failure is due to a reasonable cause and not due to wilful
38 neglect.

39 3. For the purposes of this subsection, "tax required to be shown
40 on the return" means the total tax liability before deducting payments.

41 Y. Notwithstanding subsection B of this section, the penalty
42 imposed on a taxpayer that fails to file a return pursuant to chapter 5 or
43 6 of this title on notice and demand by the department is twenty-five
44 percent of the tax, or \$100, whichever is greater. The penalty is due and
45 payable on notice and demand by the department, in addition to any penalty
46 prescribed by subsection A of this section, unless it is shown that the
47 failure is due to a reasonable cause and not due to wilful neglect.

1 Z. FOR THE PURPOSES OF THE TAX IMPOSED PURSUANT TO TITLE 43,
2 CHAPTER 10, PENALTIES MAY NOT BE ASSESSED UNDER SUBSECTION A OF THIS
3 SECTION IF THE TAXPAYER'S TOTAL LIABILITY IS ZERO.

4 ~~Z.~~ AA. For the purposes of this section, and only as applied to
5 the taxes imposed by chapter 5, articles 1 through 6 and chapter 6,
6 articles 1, 2 and 3 of this title, "reasonable cause" means a reasonable
7 basis for the taxpayer to believe that the tax did not apply to the
8 business activity or the storage, use or consumption of the taxpayer's
9 tangible personal property in this state.

10 Sec. 2. Retroactivity

11 This act applies retroactively to taxable periods beginning from and
12 after December 31, 2025.

13 Enroll and engross to conform

14 Amend title to conform

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